

F2

Product Designer Case Study — Portfolio Monitoring

In Plain Terms

A lending fund lends money to a company. The loan comes with rules, called covenants. The main one in this case: the company's debt can't be more than a set multiple of its yearly earnings. Every quarter, the company sends the fund a report card: its financial statements, a short commentary, and a signed certificate saying whether it followed the rules. An analyst at the fund reads it, checks the math, and decides whether the company is getting riskier.

Case Context

Private credit funds use F2 to underwrite deals and, once a deal closes, to monitor it until it is repaid. Monitoring happens in Portfolio OS, where every borrower has a portfolio company workspace: its loan terms, its covenants, and the plan the deal was approved on.

Today an analyst opens every PDF, retypes the numbers into a tracker, usually an Excel file, recalculates the ratios, compares them with last quarter by eye, and decides whether the borrower's health has changed. At 35 borrowers, that is most of their quarter.

In Portfolio OS the analyst forwards the email to Adam, F2's AI agent. Adam files the package into the right workspace and does the first pass. It pulls out the numbers, redoes each covenant using the loan agreement's own definitions, checks its result against the borrower's certificate, and compares performance with the plan and with last quarter. Combined with a health status for each borrower based on the firm's internal risk guidelines, we call this layer Risk Intelligence.

Filing a PDF against the right company is what a CRM does. F2 holds much more: the investment committee memo the deal was approved on, the loan agreement, every prior quarter, and the analyst's own notes. This case asks what that makes possible the moment a new package arrives.

Your Objective

Design what the analyst sees and does once one borrower's quarterly package is in F2, from the moment she learns it's ready to the moment she has made her decision. That covers two parts:

1. **The workspace.** This is the heart of the case. What the analyst sees when she opens the borrower's workspace after Adam's first pass: what changed, why, and how it connects to the plan and the borrower's history.
2. **The decision.** Adam suggests a new health status. The analyst confirms or overrides it, with a reason, and takes whatever follow-up that decision calls for.

Intake is already handled. The email was forwarded to Adam, and Adam filed the package in Halsted's workspace. You only need to show how Maya finds out it's ready: a single notification or entry point is enough.

The bar: the analyst opens the workspace and, within a minute, knows what changed this quarter, why, whether she agrees with Adam, and what to do next.

The Scenario

Maya is a monitoring analyst at Northgate Credit Partners, a direct lending fund. She covers 35 borrowers. This case is about one: Halsted Industrial Services, which maintains refineries and chemical plants. Northgate lent Halsted \$85M in December 2024. The deal was approved in F2, so Halsted's workspace already holds the investment committee memo, the loan agreement, five quarters of history, and Maya's review from last quarter.

On Friday, August 14, Halsted's CFO emailed the Q2 2026 package to the fund's shared reporting inbox, which forwards everything to Adam at adam@northgate.f2.ai. It had the financial statements, management commentary, and the signed compliance certificate. It is now Tuesday, August 18, 8:15 am, and Adam has finished its first pass.

What Adam found

- **Halsted's cushion under the debt limit shrank from 19% to 8%.** Northgate's policy treats anything under 10% as amber. About 4 points of the drop is because the limit tightened on schedule, from 5.50x to 5.25x. The other 7 are because Halsted earned less.
- **Halsted's own numbers disagree with Adam's.** Halsted's signed certificate reports a cushion of 11.8%, which would keep it green. The difference is \$0.72M of savings from a cost program that started in July, after the quarter ended. Halsted counts those savings. The loan agreement doesn't allow them, so Adam leaves them out. Whether Halsted is green or amber depends on whose number Maya accepts.
- **Halsted has missed the plan the deal was approved on for four quarters running.** Revenue is 6% below plan, and profit margin is 16.8% against about 19% planned. When the deal was approved, the investment committee named wage inflation as the top risk; that is what management blames now.

Adam suggests moving Halsted from green to amber. Maya decides.

How the cushion is worked out, and where the two numbers split:

	Last quarter	This quarter
Debt limit	5.50x	5.25x
Halsted's debt ÷ earnings, per Adam	4.45x	4.83x
Halsted's debt ÷ earnings, per Halsted's certificate	4.45x	4.63x

	Last quarter	This quarter
Cushion, per Adam	19.1%	8.0%
Cushion, per Halsted	19.1%	11.8%

$\text{Cushion} = (\text{limit} - \text{debt} \div \text{earnings}) \div \text{limit}.$

There is more in the data pack than these three findings. You don't need it, but it is there if you want to go further.

Key Questions to Consider

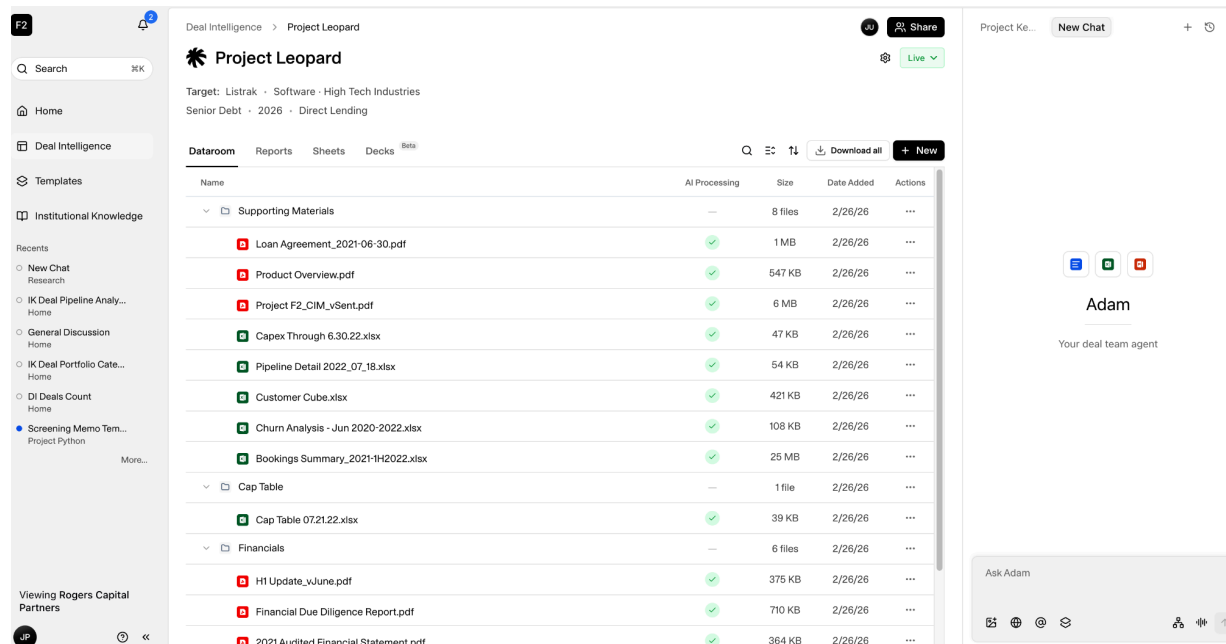
- How does Maya find out the package is ready, and what does that first moment already tell her?
- When Maya opens Halsted's workspace, what does she see first?
- What is the difference between showing this quarter's numbers and showing what they mean?
- When Adam and the borrower disagree, how does that land?
- What does Maya need to see before she agrees with Adam's suggestion, or overrides it?
- What would this workspace look like in a quarter where nothing changed?

Constraints & Assumptions

1. **Adam does the analysis.** You are not designing spreading tables, formulas, or Excel. Assume extraction and calculation work; the data pack shows their output.
2. **The workspace exists.** Halsted's workspace already holds its investment committee memo, the plan the deal was approved on, its covenants and scheduled step-downs, and its history.
3. **Adam proposes, Maya decides.** Health status (red / amber / green) comes from the fund's credit policy, which is in the data pack. Adam suggests a status. Confirming or overriding it is Maya's call and needs a recorded reason.
4. **Everything traces to source.** Any number or claim Adam makes must link back to the document and page it came from.
5. **Follow-ups belong to the decision.** Alongside the status, Maya might add Halsted to the watchlist, ask the borrower a question, or flag it for the investment committee. Design these as part of the decision, not as separate features.
6. **Out of scope:** intake and filing, views across all 35 borrowers, late or incomplete packages, news monitoring, and loan amendments.

Deliverables

- **User needs and pain points - single slide.** What Maya is trying to see and get done when a package arrives.
- **A prototype/Figma file** of the workspace Maya sees when she opens Halsted this morning, including how she confirms or overrides Adam's suggested status. Use any tool; AI tools are welcome. Build it on the data pack. Here's the current workspace screenshot:



Focus on clarity of thinking over polish. This problem is deliberately open, and there is no single right answer. We care most about how you think, what you prioritize, and how you design for real credit decisions.

What We Provide

A data pack (zip). All companies, people, and numbers are fictional. The folders follow the story in order, and `START_HERE.md` says which data to use for what. For the prototype you need folders 2, 3, and 4. Folder 1 is background.

Folder	Use it for	What's inside
1_the_email/	Background: how the package arrived	The email Halsted's CFO sent, and the two PDFs attached to it. You don't need to design this step.
2_workspace_before_this_quarter/	The workspace as it stood before today	Loan terms, the debt limit and its schedule, the plan the deal was approved on, five past quarters, and the current status (green). Also the investment committee memo, the loan agreement, and Maya's review from last quarter.
3_what_adam_found/	What's new this quarter	Adam's three findings and suggested status, with the numbers behind each and the

Folder	Use it for	What's inside
		file and page every number came from
4_fund_rules/	The decision	When a borrower is green, amber, or red, and what Maya must record when she changes a status

We will also share screenshots of today's Deal Intelligence module and a portfolio company workspace for visual context. Use as much or as little of the current UI as you like.

Presentation

- **Prep time:** we expect ~3 hours.
- **Submission:** send your work at least 24 hours before the session.
- **Session:** 45 minutes. Spend about 30 walking us through your thinking and demoing the prototype; the last 15 are for follow-up questions and your questions for us.
- **Format:** the session is conversational. Expect us to ask questions as you go.
- **Tools:** use whatever you like, including AI tools. Tell us what you used and how.

All exercises in our interview process are based on hypothetical scenarios or problems. Your ideas will not be used by F2 for any commercial benefit.